means their values may change in a matter of a few minutes or hours. Stable coins are a form of cryptocurrency that eliminates volatility. It has a pegged value to assets like another cryptocurrency, fiat money, and so on, which are much more stable and can be used to protect from volatility. The different types of stable coins are algorithmic stable coins such as DAI and non-algorithmic stable coins such as Tether.

3. Decentralised exchanges

Decentralised exchanges are similar to cryptocurrency exchanges which fill the gap between buyers and sellers and promote peer-to-peer transactions. Although one cannot buy digital assets with fiat money, they allow the user to exchange cryptocurrencies. Since there are no intermediaries, there are no fees involved, and the chances of manipulation are much lower.

4. Derivatives

In the finance world, derivatives are contracts that drive values from the financial asset performance. These financial assets include stocks, interest rates, commodities, currencies, market indexes, and so on. Also, DeFi derivatives are way easier as users are not supposed to provide identity proof. Synthetix is a primary DeFi application.

5. Margin trading

In order to improve the position of a certain asset, DeFi margin trading is taken into consideration. It is further divided into two components:

- Leveraging, when a trader borrows an asset to increase its amount
- Shorting, when traders borrow an asset for selling purposes

Layers of DeFi

While building the DeFi system, each layer's components perform a unique function. Let's study all of the layers that together comprise the DeFi stack.

- **Settlement layer**

The settlement layer, also known as Layer 0, is the base of the DeFi trans-